



CHAPTER 48

An Act to provide for the establishment of a Sugar Board, and to make provision as to the functions and finances of the Board, including provision for a surcharge on sugar and molasses and provision for distributing any surplus revenues of the Board; to make further provision as respects the British Sugar Corporation Limited, to dissolve the Sugar Commission, and otherwise to make new provision as respects the sugar industry in, and the importation of sugar and related goods into, the United Kingdom; and for purposes connected with the matters aforesaid. [5th July, 1956]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Establishment and functions of Sugar Board

1.—(1) There shall be established a Board, to be called the Sugar Board, who shall, as from the appointed day, perform the functions assigned to them by or under this Act. Establishment and principal functions of Sugar Board.

(2) Without prejudice to any other functions assigned to them by or under this Act, the Sugar Board shall as from the appointed day be charged with the duties—

- (a) of purchasing Commonwealth sugar, at prices periodically negotiated in accordance with the Commonwealth Sugar Agreement, in fulfilment of the Government's contractual obligations under that agreement, and
- (b) in cases where the Board are specially directed to do so by the Minister of Agriculture, Fisheries and Food (in this Act referred to as "the Minister"), of acting,

either as principals or as agents of the Minister, in the purchase of Commonwealth sugar the purchase of which does not fall within the Government's said obligations.

(3) Before giving any directions for the purposes of paragraph (b) of the last preceding subsection, the Minister shall consult the Sugar Board and such one or more undertakings as appear to him to be the principal importers of sugar into the United Kingdom.

(4) To such extent as the Minister may direct, the functions of the Sugar Board under paragraph (a) of subsection (2) of this section shall extend to the purchase by the Board, in place of the Minister, of sugar which, on the appointed day, the Minister is under contract to purchase as mentioned in that paragraph.

(5) For the purposes of this Act all sugar purchased by the Sugar Board shall be taken to be purchased by them as principals, except in the case of sugar which they are expressly directed to purchase as agents of the Minister.

(6) The price at which the Sugar Board sell sugar, which they have purchased as principals, shall be such as appears to the Board to be the best price reasonably obtainable for the sugar, having regard to the date of delivery and the other terms and conditions of the sale:

Provided that where, in accordance with any directions of the Minister, any such sugar is to be sold by the Board in fulfilment of the Government's contractual obligations under any agreement (whether made before or after the passing of this Act), the Minister may direct the Board to offer the sugar for sale at prices fixed in accordance with that agreement.

(7) The Sugar Board shall not transport or store any sugar purchased by them as principals unless required to do so by any general or special directions of the Minister.

(8) The Board shall sell, hold or otherwise deal with any sugar purchased by them as agents of the Minister in accordance with any general or special directions of the Minister given in that behalf.

(9) In this Act "the Commonwealth Sugar Agreement" means the agreement of which particulars are set out in the First Schedule to this Act, and includes any variation or extension of that agreement (whether made before or after the passing of this Act) and any agreement made after the passing of this Act whereby that agreement is superseded, and "Commonwealth sugar" means sugar exported or to be exported from

any territory which, in respect of the sugar industry and exporters therein, is for the time being represented for the purposes of the Commonwealth Sugar Agreement by a party to that agreement, whether an original party thereto or not.

2.—(1) The Sugar Board shall consist of a chairman and such number of other members, not exceeding four, as the Minister may from time to time determine. Constitution of Sugar Board.

(2) Members of the Board, including the chairman, may be appointed either as whole-time or as part-time members, so however that not more than three of them shall be appointed as whole-time members of the Board.

(3) All the members of the Board shall be appointed by the Minister, and, in the case of members other than the chairman, shall be so appointed after consultation with the chairman.

(4) Every member of the Board shall hold and vacate his office in accordance with the terms of his appointment, and shall, on ceasing to be a member, be eligible for re-appointment; but any member may at any time resign his office by notice in writing to the Minister.

(5) A person shall be disqualified for being appointed, or being, a member of the Board so long as he is a member of the Commons House of Parliament, or of the Senate or House of Commons of Northern Ireland.

(6) Before appointing a person to be a whole-time member of the Board, the Minister shall satisfy himself that the said person has no substantial financial interest in any business directly connected with the production, manufacture or sale of sugar, or of goods of which sugar constitutes a principal ingredient, and the Minister shall also satisfy himself from time to time with respect to every whole-time member of the Board that he has no such interest; and any person who is, or whom the Minister proposes to appoint and who has consented to be, a whole-time member of the Board shall, whenever requested by the Minister to do so, furnish him with such information as the Minister considers necessary for the performance by the Minister of his duties under this subsection.

(7) The Board—

- (a) shall pay to each of their members such remuneration (whether by way of salary or fees) and such allowances as the Minister may, with the approval of the Treasury, determine in the case of those members respectively; and
- (b) in the case of such members as the Minister may so determine, shall pay such pensions, or make such payments towards the provision of pensions, to or in

respect of those members as the Minister may, with the approval of the Treasury, determine in the case of those members respectively.

(8) The Minister shall, as soon as possible after the constitution of the Board, lay before each House of Parliament a statement of the remuneration and allowances that are or will be payable under the last preceding subsection; and, if any subsequent determination by him under that subsection involves a departure from the terms of that statement, or if a determination by him under that subsection relates to the payment of, or to payments towards the provision of, a pension to or in respect of a member of the Board, the Minister shall, as soon as possible after the determination, lay a statement thereof before each House of Parliament.

(9) The provisions of the Second Schedule to this Act (which relate to the procedure of, and other matters concerning, the Sugar Board) shall have effect with respect to the Board.

Further provisions as to functions of Sugar Board.

3.—(1) It shall be the duty of the Sugar Board to give advice to the Minister on any matters relating to sugar which he may refer to them for that purpose, including matters arising in the performance of any functions of the Minister under this Act:

Provided that the Board shall not by virtue of this subsection be authorised or required to give advice to the Minister on matters relating to the performance by the British Sugar Corporation Limited of their functions in relation to the purchase of home-grown beet.

(2) The Sugar Board may, to such extent as the Minister may authorise them to do so,—

(a) act as agents for him in the performance of any of his functions in so far as they relate to sugar, except functions under this Act and any power under any enactment to make orders or regulations or to give directions;

(b) undertake on his behalf any negotiations relating to the performance of any of his functions under this Act.

(3) Where by virtue of any provision of this Act the Sugar Board act as agents for, or otherwise on behalf of, the Minister, they may so act on such terms, as to payment or otherwise, as may be agreed between the Board and the Minister.

(4) It is hereby declared that, except where the Sugar Board act as agents for the Minister under any provision of this Act, the Board are not to be regarded as the servant or agent of

the Crown or as enjoying any status, immunity or privilege of the Crown, and no property of the Board is to be regarded as property of, or held on behalf of, the Crown.

4.—(1) The Sugar Board shall pay, out of moneys belonging to the Board, for all sugar purchased by the Board as principals, and shall be entitled to the proceeds of sale of all such sugar when it is sold by the Board.

(2) The provisions of this Act—

(a) as to the levy of a surcharge, and the payment of the net proceeds thereof to the Sugar Board, and

(b) as to the making, in certain circumstances, of distribution payments by the Board,

shall have effect respectively for enabling the Board to balance their revenue account, and for the distribution of revenues of the Board in so far as they are not required for balancing that account.

(3) References in this Act to the balancing by the Sugar Board of their revenue account are references to securing that the revenues of the Board, taking one year with another, are sufficient, but not more than sufficient, to meet all their outgoings properly chargeable to revenue account.

(4) The Sugar Board shall have power to invest, in such manner as may be approved by the Minister with the consent of the Treasury, any moneys of the Board which are not for the time being required for any other purpose.

5.—(1) For the purpose of meeting outgoings of the Sugar Board, whether chargeable to capital or to revenue account, the Minister may from time to time advance sums to the Board, on such conditions (subject to the following provisions of this section) as the Minister, with the approval of the Treasury, may determine:

Power for
Minister to
advance sums
to Sugar
Board.

Provided that the aggregate amount of the principal outstanding in respect of advances under this subsection shall not at any time exceed twenty-five million pounds.

(2) The Treasury may issue to the Minister out of the Consolidated Fund such sums as are necessary to enable him to make advances under the preceding subsection.

(3) For the purpose of providing sums (or any part of sums) to be issued under the last preceding subsection, or of providing for the replacement of all or any part of sums so issued, the Treasury may, at any time, if they think fit, raise money in any manner in which they are authorised to raise money under

the National Loans Act, 1939 ; and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under that Act.

(4) The Sugar Board shall make to the Minister, at such times and in such manner as he may with the approval of the Treasury direct,—

(a) payments of interest on advances to the Board under this section, at such rate as the Minister may so direct, and

(b) payments, of such amounts as the Minister may so direct, in or towards repayment of such advances.

(5) Sums received by the Minister under the last preceding subsection shall be paid into the Exchequer, and shall be issued out of the Consolidated Fund at such times as the Treasury may direct, and shall be applied by the Treasury as follows, that is to say,—

(a) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit ;

(b) so much thereof as represents interest shall be applied towards meeting such part of the annual charges for the National Debt as represents interest.

(6) The Minister shall, as respects each financial year, prepare, in such form and manner as the Treasury may direct, an account of sums received by the Minister in respect of interest on advances, or in or towards repayment of advances, and of sums issued to the Minister under subsection (2) of this section, and of the disposal by the Minister of those sums respectively.

(7) Any account prepared under the last preceding subsection shall, on or before the thirtieth day of November next following the end of the financial year in question, be transmitted to the Comptroller and Auditor General, who shall examine and certify the account and lay copies thereof, together with his report thereon, before each House of Parliament.

Annual
report and
accounts of
Sugar Board.

6.—(1) The Sugar Board shall, as soon as may be after the end of each financial year of the Board, make a report to the Minister on the performance of their functions under this Act in that year, and the Minister shall lay a copy of the report before each House of Parliament.

(2) A report of the Sugar Board for any financial year of the Board shall set out any directions given to the Board by the Minister during that year, except any direction in the case of which the Minister has notified to the Board his opinion that it should be omitted in the interests of national security.

(3) The Board shall keep proper accounts, and proper records in relation to the accounts, and shall prepare in respect of each financial year of the Board statements of account in such form as the Minister, with the approval of the Treasury, may direct; and the accounts of the Board for each financial year of the Board shall be audited by auditors to be appointed for that year by the Minister.

(4) No person shall be qualified to be so appointed auditor unless he is a member of one or more of the following bodies:—

the Institute of Chartered Accountants in England and Wales;

the Society of Incorporated Accountants;

the Institute of Chartered Accountants of Scotland;

the Association of Certified and Corporate Accountants;

the Institute of Chartered Accountants in Ireland;

any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of paragraph (a) of subsection (1) of section one hundred and sixty-one of the Companies Act, 1948, by the Board of Trade.

(5) As soon as may be after the accounts of the Board have been audited, the auditors shall transmit to the Minister copies of the statements of account together with their report thereon, and the Minister shall transmit a copy of the statements and of the report to the Comptroller and Auditor General; and the Comptroller and Auditor General shall examine the statements and report, and may inspect the accounts of the Board and any records relating thereto, and shall certify the statements and lay copies thereof, together with his report thereon, before each House of Parliament.

(6) The report and statements of account of the Sugar Board for any financial year of the Board shall include the matters specified in the Third Schedule to this Act, in addition to the other matters required to be contained therein by virtue of the preceding provisions of this section.

*Surcharge on imported and home-produced sugar
and molasses*

7.—(1) In respect of the following sugar and molasses, that is to say,—

General provisions as to surcharge.

- (a) any sugar or molasses, whether imported or home-produced, which becomes chargeable with sugar duty on or after the appointed day, and

- (b) any sugar or molasses used in the manufacture of imported composite sugar products which become chargeable with sugar duty on or after that day,

a surcharge shall be payable for the benefit of the Sugar Board in accordance with the following provisions of this Act.

In the following provisions of this Act "surcharge" means surcharge payable by virtue of this section.

(2) In this Act "sugar duty" means any duty of customs or excise specifically imposed on sugar or molasses by virtue of any enactment (whether passed before or after this Act), including any such duty chargeable in the Isle of Man, and "composite sugar products" means goods containing sugar or molasses as a part or ingredient thereof; and for the purposes of this Act goods (being either sugar or molasses or composite sugar products) shall be taken to become chargeable with sugar duty if, and at the time when, they are entered for home use, removed from a warehouse, or otherwise dealt with, in such circumstances that sugar duty becomes chargeable on them:

Provided that for the purposes of this subsection duty shall be treated as not chargeable if it is wholly remitted or is otherwise not required to be paid.

(3) Subject to the following provisions of this Act, surcharge in respect of sugar shall be payable at the rate applicable to the sugar in accordance with its degree of polarisation, and surcharge in respect of molasses shall be payable at the rate applicable to the molasses according to the amount of sweetening matter which it contains; and, in the case of composite sugar products, the amount of the surcharge shall be calculated by reference to the quantity of sugar or molasses appearing to the Commissioners of Customs and Excise (in this Act referred to as "the Commissioners") to have been used in the manufacture of the products.

(4) The rates of surcharge applicable to sugar and to molasses, as mentioned in the last preceding subsection, shall be those prescribed from time to time by order made by the Minister, with the concurrence of the Treasury, on the advice of the Sugar Board.

(5) The rates prescribed by an order under the last preceding subsection shall be such rates as appear to the Minister, on the advice of the Sugar Board, to be requisite for enabling the Board to balance their revenue account, having regard—

- (a) to the provisions of this Act as to the payment to the Board of the net proceeds of the surcharge, and
- (b) to the financial position and prospects of the Board at the time when the order is made.

8.—(1) As counterparts to the surcharge, payments (in this Surchage Act referred to as “surcharge repayments”) shall be payable, repayments, and shall be debited to the Sugar Board, in accordance with the following provisions of this Act.

(2) Surcharge repayments shall be payable in respect of the following sugar and molasses, that is to say,—

- (a) any sugar or molasses which on or after the appointed day is exported, shipped as stores, warehoused or otherwise dealt with in such circumstances that drawback of sugar duty is payable thereon ;
- (b) any sugar or molasses used in the manufacture of goods which, on or after the appointed day, are exported, shipped as stores, warehoused or otherwise dealt with in such circumstances that drawback of sugar duty is payable on that sugar or molasses ;
- (c) any sugar or molasses which fulfils the following conditions, that is to say,—
 - (i) that an article containing that sugar or molasses as a part or ingredient thereof has become chargeable with sugar duty in respect of that sugar or molasses, and
 - (ii) that on or after the appointed day goods are exported, shipped as stores, warehoused or otherwise dealt with in such circumstances that drawback of sugar duty is payable on that article, as being an article appearing to the Commissioners to have been used in the manufacture of those goods.

(3) Subject to the following provisions of this Act, the amount of surcharge repayment payable in respect of any sugar or molasses by virtue of paragraph (a) or paragraph (b) of the last preceding subsection shall be ascertained, by reference to the subject-matter of the relevant drawback, as follows :—

- (a) in respect of sugar, if the relevant drawback is payable thereon as being sugar produced in the United Kingdom from materials on which sugar duty has been paid, the amount of the surcharge repayment shall be the amount of surcharge which would have been payable in respect of that sugar if it had become chargeable with surcharge at the time when those materials became chargeable with sugar duty ;
- (b) in respect of molasses, if the relevant drawback is payable thereon as being molasses produced in the United Kingdom from materials on which sugar duty has been paid, the amount of the surcharge repayment shall be calculated thereon at the rate applicable to the molasses

in accordance with the scale of rates prevailing at the time when those materials became chargeable with sugar duty ;

- (c) in respect either of sugar or of molasses, in a case not falling within either of the preceding paragraphs, the amount of the surcharge repayment shall be equal to the amount of surcharge paid in respect of that sugar or molasses.

In this subsection " the relevant drawback ", in relation to any sugar or molasses, means the drawback payable on that sugar or molasses as mentioned in paragraph (a) or paragraph (b) of the last preceding subsection, as the case may be.

(4) In the application of paragraph (a) or paragraph (b) of the last preceding subsection to a case where the materials in question became chargeable with sugar duty before the appointed day, any reference to the time when the materials became chargeable with sugar duty shall be construed as a reference to the appointed day ; and in the application of paragraph (c) of that subsection to sugar or molasses which became chargeable with sugar duty before the appointed day, surcharge shall be treated as having been paid in respect of that sugar or molasses, in accordance with the rates of surcharge prevailing on the appointed day.

(5) The amount of surcharge repayment payable in a case falling within paragraph (c) of subsection (2) of this section shall be equal to the amount of surcharge paid in respect of the sugar or molasses in question :

Provided that, in a case where the article referred to in that paragraph became chargeable with sugar duty before the appointed day, the amount of surcharge repayment shall be equal to the amount of surcharge which would have been payable in respect of the sugar or molasses if the article had become chargeable with sugar duty on the appointed day.

(6) The rates of surcharge repayments applicable to molasses, for the purposes of paragraph (b) of subsection (3) of this section, shall be those prescribed from time to time by order made by the Minister, with the concurrence of the Treasury, on the advice of the Sugar Board.

(7) The Minister shall so exercise his powers under the last preceding subsection as to secure that the rates of surcharge repayments for the time being applicable to molasses reflect as nearly as may be the current rates of surcharge applicable to molasses, subject to such adjustments as he may consider appropriate, having regard to the differences for the time being prevailing between the rates of drawback on molasses and the rates of customs duty on molasses.

(8) Where by virtue of any provision of this section a surcharge repayment is payable in respect of sugar or molasses used in the manufacture of any goods, or constituting a part or ingredient of an article, the surcharge repayment shall, subject to the next following section, be calculated by reference to the quantity of sugar or molasses appearing to the Commissioners to have been used in the manufacture thereof.

(9) In this Act references to drawback of sugar duty shall be construed as including references to any allowance calculated by reference to sugar duty or to drawback of sugar duty; and for the avoidance of doubt it is hereby declared that such references include references to drawback of sugar duty chargeable in the Isle of Man and to any allowance calculated by reference to such duty or to drawback of such duty.

9.—(1) If, on the recommendation of the Commissioners, it appears to the Minister, in the case of any description of composite sugar products, that surcharge, instead of being calculated by reference to the quantity of sugar or molasses appearing to the Commissioners to have been used in the manufacture of the products, could more conveniently be calculated on the basis of an average quantity taken to have been so used, the Minister may make an order under this subsection in respect of that description of composite sugar products.

Special provisions as to composite sugar products.

(2) An order under the preceding subsection shall provide that, in the case of composite sugar products of the description to which the order relates, surcharge shall be calculated in such of the following ways as may be specified in the order, that is to say,—

- (a) by reference to a quantity of sugar specified in the order, at the rate applicable to sugar of a degree of polarisation so specified, or
- (b) by reference to a quantity of molasses specified in the order, at the rate applicable to molasses containing an amount of sweetening matter so specified, or
- (c) at a rate specified in the order, by reference to the weight, quantity or value of the products, as assessed in accordance with the order.

(3) In making an order under subsection (1) of this section in the case of any description of composite sugar products, the Minister shall have regard to the average quality and average quantity of sugar or molasses, or of both, appearing to him, on the advice of the Commissioners, to be used in the manufacture of products of that description which are imported into the United Kingdom.

(4) If, on the recommendation of the Commissioners, it appears to the Minister, in the case of any description of goods, in the manufacture of which sugar or molasses is used, that surcharge repayments, instead of being calculated by reference to the quantity of sugar or molasses appearing to the Commissioners to have been so used, could more conveniently be calculated on the basis of an average quantity taken to have been so used, the Minister may make an order under this subsection in respect of that description of goods.

(5) The provisions of subsections (2) and (3) of this section shall apply to orders under the last preceding subsection as they apply to orders under subsection (1) of this section, as if in those provisions—

- (a) references to surcharge were references to surcharge repayments ;
- (b) references to composite sugar products were references to goods in the manufacture of which sugar or molasses is used ;
- (c) any reference to importation into the United Kingdom were a reference to exportation from the United Kingdom ; and
- (d) any reference to the rate applicable to sugar of a degree of polarisation specified in an order were a reference to a rate specified in an order.

Provisions as to surcharge, and surcharge repayments, in other special cases.

10.—(1) Where any sugar is chargeable with duty as if it were of a polarisation exceeding ninety-nine degrees by virtue of section two hundred and fourteen of the Customs and Excise Act, 1952 (which relates to sugar of which the polarisation has been reduced), the rate of surcharge applicable to the sugar shall be the rate applicable to sugar of a polarisation exceeding ninety-nine degrees.

(2) Where, on receipt by a person of any sugar or molasses, drawback is paid to him by virtue of section two hundred and seventeen of the said Act of 1952 (which relates to sugar, molasses and other substances delivered for use in arts and manufactures), the like surcharge repayment shall be payable as if—

- (a) the sugar or molasses had been shown, to the satisfaction of the Commissioners, to have been used in the manufacture of goods in the United Kingdom, and
- (b) on the date on which the sugar or molasses was received by that person, those goods had been exported in such circumstances that drawback of sugar duty became payable on the sugar or molasses.

(3) If by virtue of subsection (4) of section eighty-eight of the said Act of 1952 (which relates to the calculation of certain duties on warehoused goods) the sugar duty chargeable on any sugar or molasses falls to be calculated in any of the ways specified in that subsection, any surcharge payable in respect of that sugar or molasses shall be calculated in the same way.

11.—(1) The general provisions of the Customs and Excise Act, 1952 (as for the time being amended, whether before or after the passing of this Act), and any other statutory provisions for the time being in force and relating to customs or excise generally, shall have effect, subject to the provisions of this section and with such exceptions and adaptations as may be prescribed, in relation to surcharge and to surcharge repayments as they have effect respectively in relation to duties of customs or duties of excise (as the circumstances of any particular case may require) and in relation to drawbacks of, and allowances in respect of, such duties. Supplementary provisions as to surcharge and surcharge repayments.

(2) Nothing in the preceding subsection shall extend the operation of section ten of the Exchequer and Audit Departments Act, 1866 (which relates to the disposal of revenue receipts), or of section eleven of the Customs and Excise Act, 1952 (which relates to the disposal of, and accounting for, customs and excise receipts), or of the Provisional Collection of Taxes Act, 1913.

(3) Notwithstanding anything contained in subsection (1) of this section, section ten of the Finance Act, 1901 (which relates to new or altered customs and excise duties in their effect on contracts) shall not apply to surcharge except in so far as the rates of surcharge are increased or reduced after the appointed day; but in relation to any increase or reduction in the rates of surcharge after the appointed day the said section ten shall have effect as it has effect in relation to increases and decreases in customs import duties.

(4) Without prejudice to the preceding provisions of this section, the Commissioners shall have power to make regulations with respect to surcharge, and to surcharge repayments, for any purpose for which under any statutory provisions for the time being in force they have power to make regulations with respect to sugar duty, or to drawback of sugar duty, including power by any such regulations to apply, in relation to surcharge or surcharge repayments, with such exceptions and adaptations as may be prescribed, any regulations relating to sugar duty, or to drawback of sugar duty, which are for the time being in force.

(5) If any person contravenes or fails to comply with any regulation made or applied under the last preceding subsection

he shall be liable to a penalty of fifty pounds, and any article in respect of which the offence was committed shall be liable to forfeiture.

The general provisions of the Customs and Excise Act, 1952, as to proceedings for penalties under that Act, and as to forfeiture of goods thereunder, shall apply for the purposes of this subsection.

(6) Without prejudice to any power exercisable by virtue of the preceding provisions of this section, or to the repayment of any surcharge paid or overpaid in error, the Commissioners may remit or repay any surcharge, in whole or in part, where they are satisfied that, if the surcharge had been a duty of customs or excise, they would have remitted or repaid it, in whole or in part, and that the surcharge or part of the surcharge, as the case may be, ought to be remitted or repaid.

(7) In this section "statutory provisions" means provisions contained in an enactment or having effect by virtue of an enactment, and "prescribed" means prescribed by regulations made by the Commissioners.

Application
of proceeds
of surcharge.

12.—(1) As between the Commissioners and the Sugar Board all money collected on account of surcharge (whether in Great Britain, the Isle of Man or Northern Ireland) shall be taken to be so collected for the benefit of the Sugar Board, subject to the payment thereof of the surcharge repayments falling to be paid in accordance with this Act, and to the retention thereof by the Commissioners of such sums as the Treasury may from time to time determine in respect of the Commissioners' expenses attributable to the collection of the surcharge and dealing with claims for surcharge repayments.

(2) Any sums retained by the Commissioners in accordance with the preceding subsection shall be paid into the Exchequer.

(3) The Commissioners shall account to the Sugar Board for all money collected as mentioned in subsection (1) of this section, and for all sums paid or retained thereof in accordance with that subsection, in such manner as the Treasury may direct, and, pending payment to the Sugar Board, shall deal with all such money in such manner as the Treasury may from time to time direct.

*Suspension of surcharge and provision for distribution
payments by Sugar Board*

Suspension
of surcharge.

13.—(1) If at any time after the appointed day it appears to the Minister, on the advice of the Sugar Board, having regard to the financial position and prospects of the Board at that time, that the income of the Board, for a period of not less than six months from that time, is likely to be sufficient without

the aid of the surcharge, the Minister, with the concurrence of the Treasury, may by order provide for suspending the operation of the surcharge, either indefinitely or for a period specified in the order.

(2) Where the Minister makes an order under the preceding subsection, he may by order make provision for securing that surcharge repayments will not be payable in respect of sugar or molasses which, by virtue of the order under the preceding subsection, is not chargeable with surcharge.

(3) Any order under either of the preceding subsections, and any order revoking or varying such an order, may contain such transitional, supplementary and incidental provisions as may appear to the Minister to be necessary or expedient for the purposes of the order.

(4) For the purposes of this and the next following section the income of the Board for any period shall be taken—

(a) to be sufficient, if it is not less than the amount of income required to be earned by the Board in respect of that period to enable the Board to balance their revenue account, and

(b) to show a surplus, if it is more than the amount of income so required to be earned by the Board.

14.—(1) Where at any time after the appointed day an order under the last preceding section is for the time being in force, or the Minister proposes to make an order under that section, and it appears to the Minister, on the advice of the Sugar Board, that apart from this section the income of the Board, for a period of not less than six months from that time, is likely to show a surplus, the Minister, with the concurrence of the Treasury, may by order direct that the provisions of this section shall have effect while the order under this section is in force.

Distribution
payments by
Sugar Board.

(2) An order under this section may be made so as to be in force for an indefinite period or for a period specified in the order.

(3) Where an order is made under this section, payments (in this Act referred to as "distribution payments") shall be payable by the Sugar Board in respect—

(a) of all sugar and molasses, whether imported or home-produced, which become chargeable with sugar duty while the order is in force, and

(b) of any sugar or molasses used in the manufacture of imported composite sugar products which become chargeable with sugar duty while the order is in force.

(4) Subject to the following provisions of this section, distribution payments in respect of sugar shall be payable at the rate applicable to the sugar in accordance with its degree of polarisation, and distribution payments in respect of molasses shall be payable at the rate applicable to the molasses according to the amount of sweetening matter which it contains; and, in the case of composite sugar products, the amount of any such payment shall be calculated by reference to the quantity of sugar or molasses appearing to the Sugar Board to have been used in the manufacture of the products, having regard to any certificate given by or under the authority of the Commissioners as to the quantity of sugar or molasses which, for the purposes of sugar duty, was taken to have been so used.

(5) The rates of distribution payments applicable to sugar and to molasses, as mentioned in the last preceding subsection, shall be those prescribed from time to time by order made by the Minister, with the concurrence of the Treasury, on the advice of the Sugar Board.

(6) The rates prescribed by an order under the last preceding subsection shall be such rates as appear to the Minister, on the advice of the Sugar Board, having regard to the provisions of the next following section and to the financial position and prospects of the Board at the time when the order is made, to be requisite for securing the distribution of any revenues of the Board in so far as they are not required for balancing their revenue account.

(7) Any distribution payment which may be payable by the Sugar Board in respect of any sugar or molasses shall be payable to the person who (either personally or through an agent) paid the sugar duty on that sugar or molasses, or on composite sugar products containing that sugar or molasses, as being the importer thereof or otherwise as being the person liable for the duty:

Provided that if that person has died since the duty was paid, or if any other event has occurred whereby the right to receive the payment, if vested in that person immediately before that event, would thereupon have vested in some other person, the right to receive the payment shall be treated as having devolved as if that right had been vested in him immediately before his death or immediately before that event, as the case may be.

(8) The provisions of subsections (1) to (3) of section nine of this Act shall have effect in relation to distribution payments as they have effect in relation to surcharge, as if in those provisions references to the Commissioners were references to the Sugar Board.

15.—(1) Where an order is made under subsection (1) of the last preceding section, the Minister may by order provide that, as counterparts to distribution payments, sums (in this Act referred to as “distribution repayments”) shall be payable to the Sugar Board in such circumstances, and calculated in such manner, as may be provided by the order in accordance with the following provisions of this section.

Provision for
distribution
repayments to
Sugar Board.

(2) Subject to the provisions of this section, the circumstances in which distribution repayments are to be payable by virtue of an order under this section, and the manner in which such repayments are to be calculated thereunder, shall be such as may appear to the Minister to correspond (with the necessary adaptations) as nearly as may be with those which apply to surcharge repayments under the preceding provisions of this Act, so however that in the adaptation of those provisions to distribution repayments—

- (a) references to the coming into operation of an order under subsection (1) of the last preceding section shall be substituted for references to the appointed day;
- (b) references to the Sugar Board shall, to such extent as the Minister considers appropriate, be substituted for references to the Commissioners; and
- (c) provision may be made whereby any drawback of sugar duty which is not claimed, but would be payable if claimed, shall be treated for the purposes of the order as if it had been claimed and had become payable accordingly.

(3) Without prejudice to the generality of the last preceding subsection, the power to make orders prescribing rates of repayments applicable to molasses, and the power by order to provide for the calculation of repayments on the basis of an average quantity of sugar or molasses taken to have been used in the manufacture of goods, are included among the provisions relating to surcharge repayments which may be adapted by an order under this section so as to apply to distribution repayments as mentioned in the last preceding subsection.

(4) Any order made under this section shall make provision for securing—

- (a) that no distribution repayment will be payable in respect of any sugar or molasses if no distribution payment has become payable in respect thereof, and
- (b) that a distribution repayment in respect of any sugar or molasses will not be payable except by a person who has received, or is entitled to claim, drawback of sugar duty on that sugar or molasses, or on goods charged on importation with sugar duty in respect of that sugar or molasses.

Supplementary provisions as to distribution payments and repayments.

16.—(1) No distribution payment shall be payable unless a claim for it is made to the Sugar Board in such manner, at such time, and accompanied by such particulars and verified by such evidence, as may be prescribed by regulations made by the Minister:

Provided that the Sugar Board, after consultation with the Minister, may in any particular case allow a claim for a distribution payment to be made after the time prescribed by the regulations for making the claim.

(2) The Minister may by regulations make such provision as he considers necessary for securing the payment of any distribution repayments, which become payable by virtue of an order under the last preceding section, including provision for the making of declarations, and the giving of other information prescribed by the regulations, in respect of goods of such descriptions as may be so prescribed which, at a time when the order is in force, are exported, shipped as stores, warehoused or otherwise dealt with in such circumstances as the Minister, having regard to the provisions of the order, may prescribe by the regulations.

(3) The following provisions of the Customs and Excise Act, 1952, that is to say,—

- (a) section three hundred and one (which relates to untrue declarations and other documents, and untrue statements, in connection with customs and excise duty), but only in so far as it relates to declarations and other documents,
- (b) section three hundred and two (which relates to the counterfeiting of documents and other similar offences),
- (c) section three hundred and four (which relates to fraudulent evasion of duty or of import restrictions), and
- (d) subsections (1) and (3) of section three hundred and five (which relate respectively to cases where a person is convicted of two or more offences in the same proceedings and to offences by bodies corporate),

and any provisions of that Act which apply to, or have effect for the purposes of, those provisions, shall have effect in relation to distribution payments and distribution repayments as if those payments and repayments were assigned matters (within the meaning of that Act), and as if in those provisions—

- (i) any reference to duty were a reference to a distribution repayment,
- (ii) any reference to a drawback or allowance were a reference to a distribution payment,

- (iii) any reference to the Commissioners included a reference to the Sugar Board, and
- (iv) any reference to defrauding Her Majesty were a reference to defrauding the Sugar Board.

(4) Any person who contravenes or fails to comply with any regulations made under subsection (2) of this section shall be guilty of an offence; and any person guilty of an offence under this subsection, other than an offence in respect of which a penalty is imposed by virtue of the last preceding subsection, shall be liable on summary conviction to a fine not exceeding fifty pounds.

(5) Any order made under subsection (1) of the last but one preceding section, or under the last preceding section, and any order revoking or varying such an order, may contain such transitional, supplementary and incidental provisions as may appear to the Minister to be necessary or expedient for the purposes of the order.

Provisions relating to British Sugar Corporation Limited

17.—(1) It shall be the duty of the British Sugar Corporation Limited (in this Act referred to as “the Corporation”) to enter into contracts for the purchase by the Corporation of home-grown beet in accordance with the following provisions of this section. Purchase of home-grown beet by Corporation.

In the provisions of this Act relating to the Corporation “the Ministers” means the Minister and the Secretary of State acting jointly.

(2) The prices to be paid by the Corporation under contracts for the purchase of home-grown beet shall be such prices as may be determined by or under any directions of the Ministers given in that behalf; and different provision may be made by any such directions—

- (a) as respects prices for beet produced in different areas in Great Britain;
- (b) as respects prices for beet purchased up to, and beet purchased in excess of, a quantity specified in the directions, either in relation to home-grown beet generally or in relation to beet produced in any area in Great Britain specified in the directions.

(3) In other respects the terms and conditions contained in such contracts shall be such terms and conditions as may, with the approval of the Ministers, be agreed between the Corporation and any body which, in the opinion of the Ministers, is substantially representative of the growers of home-grown beet, or, in default of any such agreement, shall be such as may be determined by the Ministers.

(4) The Ministers may give directions to the Corporation prescribing the total quantity of home-grown beet which the Corporation may contract to purchase for delivery in any period specified in the directions; and the Ministers may by those directions, or by any subsequent directions, provide for the apportionment of that quantity, as between different areas in Great Britain, in such manner as may be determined by or under the directions.

(5) If the Ministers give any directions under the last preceding subsection, it shall be the duty of the Corporation—

- (a) to secure that their contracts for the purchase of home-grown beet, for delivery within any period specified in the directions, do not provide for the delivery in that period of a total quantity of home-grown beet in excess of that prescribed by the directions, and, as respects any area in Great Britain to which a proportion of the total is allocated by or under any such directions, do not provide for the delivery in that period of a quantity of home-grown beet produced in that area which is in excess of that proportion; and
- (b) to hold themselves ready and willing to enter into contracts for the purchase of home-grown beet, for delivery in any such period, up to the total quantity prescribed by the directions in relation to that period, and, as respects any area within Great Britain, up to the amount (if any) apportioned by or under any such directions to that area.

(6) The Ministers shall exercise their powers under this section in the light of the conclusions of the reviewing Ministers from reviews held by them under section two of the Agriculture Act, 1947 (which provides for annual and other reviews of the condition of the agricultural industry), in so far as those conclusions relate to any matter in respect of which such a power is to be exercised.

In this subsection “the reviewing Ministers” means those Ministers of the Crown who are charged with the holding of reviews under section two of the Agriculture Act, 1947.

(7) Any power to prescribe or specify a quantity of home-grown beet for any purpose of this section may, if the Ministers think fit, be exercised by prescribing or specifying an acreage of land on which home-grown beet is produced, and any power to apportion a quantity of home-grown beet shall be exercisable accordingly; and, in relation to any directions by or under which such a power is so exercised, any reference in this section to the purchase or delivery of a quantity of home-grown beet prescribed, specified or apportioned by or under the directions shall

be construed as a reference to the purchase or delivery of home-grown beet produced on an acreage of land so prescribed, specified or apportioned.

(8) In relation to home-grown beet, the preceding provisions of this section shall have effect in substitution for the powers conferred by section four of the Agriculture Act, 1947 (which enables provision to be made for securing guaranteed prices or assured markets in the absence of other satisfactory arrangements for that purpose); and accordingly no order shall be made under that section as respects home-grown beet.

18.—(1) The appropriate Minister, after consultation with the Corporation and with any body which in the opinion of that Minister is substantially representative of growers of home-grown beet, shall prepare for each year a programme for carrying out research and education in matters affecting the growing of home-grown beet, and may by order make provision for carrying any such programme into effect. Research and education in sugar beet growing.

(2) Any such programme for any year shall contain an estimate of the amount of the expenditure to be incurred in carrying it out; and any order made for carrying any such programme into effect shall, in particular, make provision—

(a) for assessing the contributions towards defraying such expenditure to be made by the Corporation and by every grower of home-grown beet who delivers beet to the Corporation in that year, and

(b) for the collection of such contributions and the recovery of unpaid contributions by the appropriate Minister.

(3) Subject to the next following subsection, the contributions assessed for any year in pursuance of an order under subsection (1) of this section shall not exceed—

(a) in the case of a grower, threepence for every ton of home-grown beet sold by him for delivery to the Corporation in that year;

(b) in the case of the Corporation, threepence for every ton of home-grown beet purchased by them for delivery in that year.

(4) The appropriate Minister may by order direct that, for the purposes of the programme for such one or more years as may be specified in the order, the last preceding subsection shall apply with the substitution, for the references to threepence, of references to such larger sum as may be specified in the order; and if the order relates to two or more years, different sums may be so specified for different years.

(5) All contributions paid in accordance with an order under subsection (1) of this section shall be paid into a research and

education fund ; and all expenditure certified by the appropriate Minister to have been properly incurred in carrying out any programme prepared under this section (including expenditure incurred by him or on his behalf) shall be defrayed out of that fund.

(6) The said fund shall be under the control of the Minister ; and an account showing the revenue and expenditure of the fund for any year shall, not later than the thirtieth day of November in the year following that to which it relates, be transmitted by the Minister to the Comptroller and Auditor General, who shall examine and certify the account and lay copies thereof, together with his report thereon, before Parliament.

(7) The preceding provisions of this section shall not apply to any year beginning before the appointed day ; but the appropriate Minister may by order direct that any programme prepared for any year under section six of the Sugar Industry Act, 1942 (which made temporary provision for the like purposes) shall have effect, subject to any modifications specified in the order, as if it were a programme prepared under this section.

(8) All moneys which immediately before the appointed day form part of the research and education fund referred to in subsection (3) of section eighteen of the Sugar Industry (Reorganization) Act, 1936, shall, on or as soon as may be after that day, be paid into the fund referred to in subsection (5) of this section.

(9) In this section " year " means a financial year of the Corporation, and " the appropriate Minister "—

- (a) in relation to a programme or order extending to the whole of Great Britain, means the Ministers ;
- (b) in relation to a programme or order extending only to England and Wales, means the Minister ;
- (c) in relation to a programme or order extending only to Scotland, means the Secretary of State.

Agreements
for incentive
payments to
Corporation.

19.—(1) The Ministers, if they consider it expedient to do so for promoting economy and efficiency in the undertaking of the Corporation, may, with the approval of the Treasury, enter into an agreement with the Corporation for the making of incentive payments to the Corporation in respect of any one or more financial years of the Corporation beginning after the thirty-first day of March, nineteen hundred and fifty-seven :

Provided that the Ministers shall consult the Sugar Board before entering into an agreement under this section.

(2) Any such agreement shall specify such standards of economy and efficiency (by reference to rates of extraction of sugar from sugar beet, costs of production and other factors)

as the Ministers may consider appropriate, and shall provide for the calculation of incentive payments—

- (a) by assessing from time to time the results achieved by the Corporation in carrying on their undertaking ;
- (b) by adjusting the assessment of those results by reference to such variable factors (relating to the size and quality of crops and other matters outside the control of the Corporation) as may be specified in the agreement ; and
- (c) by comparing the adjusted assessment with the standards specified in the agreement.

(3) The standards specified in an agreement in accordance with the last preceding subsection may be either fixed standards or progressively rising standards ; and any agreement made under this section may be varied or superseded by a subsequent agreement made thereunder.

(4) The Ministers shall so exercise their powers under this section as to raise progressively, at such times and to such extent as may appear to them to be consistent with the purposes of this section, the standards of economy and efficiency by reference to which incentive payments are to be calculated.

(5) Any agreement under this section shall provide that the purposes for which incentive payments made under the agreement will be applied by the Corporation will include the provision of benefits for persons employed by the Corporation.

(6) Any agreement under this section shall provide that, if at any time while the agreement is in force the calculation provided for by subsection (2) of this section shows a deficiency in the adjusted assessment of results achieved, as compared with the standards specified in the agreement, the Corporation shall be debited with a sum calculated by reference to the deficiency in such manner as may be provided in the agreement.

(7) An agreement under this section shall not have effect unless it is incorporated in an order made by the Ministers, with the approval of the Treasury, directing that effect shall be given to the agreement in accordance with the next following section.

20.—(1) Subject to the provisions of this section, if the revenues of the Corporation, for any financial year of the Corporation beginning after the thirty-first day of March, nineteen hundred and fifty-seven, fall short of the total sums properly chargeable by the Corporation to revenue account for that year, the Sugar Board shall make good the deficiency ; and if for any such financial year those revenues exceed the total sums properly chargeable by the Corporation to revenue account for that year, the Corporation shall pay the excess to the Sugar Board.

(2) Any incentive payments falling to be made in accordance with an agreement under the last preceding section shall be paid

to the Corporation by the Sugar Board ; and any sums debited to the Corporation in accordance with subsection (6) of that section shall be paid to the Sugar Board by the Corporation.

(3) The sums properly chargeable by the Corporation to revenue account for any financial year of the Corporation shall, for the purposes of subsection (1) of this section, be taken to include—

- (a) an amount equivalent to a reasonable rate of interest on the issued share capital of the Corporation for the time being, and on such of the reserves of the Corporation for the time being employed in the business of the Corporation as the Minister may determine, and
- (b) such sums as may be required for enabling the Corporation to comply with any directions of the Minister as to the placing of sums to reserve.

(4) Any sums payable to or by the Corporation in accordance with subsection (2) of this section shall, for the purposes of subsection (1) of this section, be disregarded in computing the revenues of the Corporation, or, as the case may be, in computing the total sums properly chargeable by the Corporation to revenue account.

(5) Subject to the two last preceding subsections, the Minister, with the approval of the Treasury,—

- (a) may give directions as to the way in which the revenues of the Corporation are to be computed for the purposes of subsection (1) of this section, and as to the sums to be treated for those purposes as properly chargeable to revenue account, and
- (b) having regard to the circumstances existing from time to time, may give directions as to the rate of interest to be treated as reasonable for the purposes of paragraph (a) of subsection (3) of this section ;

and any directions given under paragraph (b) of this subsection may specify different rates of interest in relation to different matters, or, as regards share capital, in relation to different classes of share capital.

(6) The provisions of the Fourth Schedule to this Act shall have effect with regard to financial arrangements subsisting between the Minister and the Corporation immediately before the appointed day.

(7) It shall be the duty of the Corporation to furnish the Sugar Board with all such information as the Board may reasonably require for the purpose of enabling the Board to comply with the provisions of the Third Schedule to this Act.

(8) In this section “share capital” includes any capital consisting of stock, other than debenture stock.

21.—(1) For the purpose of providing working capital for the Corporation, or for enabling the Corporation to meet seasonal outgoings properly chargeable to revenue account, the Sugar Board, with the consent of the Minister and the approval of the Treasury, may from time to time advance sums to the Corporation, on such terms and conditions as to repayment or otherwise as the Board, with the like consent and approval, may determine.

Advances by
Sugar Board
to
Corporation.

(2) The Minister may advance sums to the Sugar Board for the purpose of enabling the Board to make advances to the Corporation under the preceding subsection; and any sums advanced by the Minister under this subsection shall be disregarded for the purposes of subsection (1) of section five of this Act.

(3) Neither the aggregate amount of the principal outstanding in respect of advances under subsection (1) of this section, nor the aggregate amount of the principal outstanding in respect of advances under the last preceding subsection, shall at any time exceed thirty million pounds.

(4) Subsections (2) to (7) of section five of this Act shall have effect in relation to sums advanced by the Minister under subsection (2) of this section as they have effect in relation to sums advanced under subsection (1) of that section, so however that any account prepared by the Minister under subsection (6) of that section, if it relates both to advances under that section and to advances under this section, shall distinguish between them and deal with them separately.

22.—(1) If the Treasury are satisfied that any debentures proposed to be issued by the Corporation are to be issued for the purpose of meeting expenditure of the Corporation properly chargeable to capital account, the Treasury may guarantee, in such manner and on such conditions as they think fit, the payment of the principal of, and the interest on, the debentures so issued:

Power of
Treasury to
guarantee
debentures of
Corporation.

Provided that the amount of the principal of the debentures guaranteed under this section shall not in the aggregate exceed an amount sufficient to raise fifteen million pounds.

(2) Any sums required by the Treasury for fulfilling any guarantee given under this section shall be charged on and issued out of the Consolidated Fund, and any sums received by way of repayment of any sums so issued shall be paid into the Exchequer.

(3) As soon as may be after any guarantee is given under this section, the Treasury shall lay a statement of the guarantee before both Houses of Parliament.

(4) If any sum is issued under this section out of the Consolidated Fund, the Treasury shall, as soon as may be after the end

of the financial year in which the first sum is so issued, lay before both Houses of Parliament an account of all sums at any time so issued, and of all sums at any time received by way of repayment of any sums so issued; and a similar account shall be laid in like manner in every subsequent year, unless it is shown by the account laid in the preceding year that all sums so issued have been repaid.

Functions of
Ministers in
relation to
Corporation.

23.—(1) Neither the memorandum of association nor the articles of association of the Corporation shall be altered without the consent of the Ministers given with the approval of the Treasury.

(2) Without prejudice to any power to alter the articles of association of the Corporation, those articles shall have effect as from the appointed day as if any reference to the Minister or to the Sugar Commission were a reference to the Ministers.

(3) The Corporation shall comply with any directions given by the Minister with the approval of the Treasury as to the placing of sums to reserve for such purposes, including the providing of pensions for persons employed by the Corporation, as the Minister may so direct; and if directions given under this subsection require any such sums to be invested or applied in a manner specified in the directions, the Corporation shall invest or apply those sums in accordance with the directions.

(4) The Corporation shall furnish the Minister and the Secretary of State with such estimates, returns, accounts and other information relating to the business of the Corporation as they may respectively require.

(5) If it appears to the Minister that the Corporation have in any respect failed to discharge the obligations imposed on them by or under this Act, he may direct the Sugar Board to withhold, wholly or in part, any payments which apart from the direction would be payable by the Board to the Corporation under this Act:

Provided that, where the Minister has given a direction under this subsection, he shall revoke the direction as soon as he is satisfied that the default in question has been or will be remedied or, in so far as it cannot be remedied, that the Corporation have taken all reasonable steps for preventing a similar default in the future; and where the Minister revokes such a direction, any payments withheld thereunder shall thereupon be paid to the Corporation.

Wages and
conditions of
employment
of employees
of Corporation.

24.—(1) The wages to be paid by the Corporation to persons employed by them, and the conditions of employment of persons so employed, shall, unless agreed upon by the Corporation and by organisations representative of the persons employed, be no

less favourable to the persons employed than the wages which would be payable, and the conditions which would have to be observed, under a contract which complies with the requirements of any resolution of the House of Commons for the time being in force applicable to contracts of Government departments; and if any dispute arises as to what wages ought to be paid, or what conditions ought to be observed, in accordance with this section, it shall, if not otherwise disposed of, be referred by the Minister of Labour and National Service to the industrial court for settlement.

(2) Where any award has been made by the industrial court upon a dispute referred to that court under this section, then, as from the date of the award or from such other date, not being earlier than the date on which the dispute to which the award relates first arose, as the court may direct, it shall be an implied term of the contract between the Corporation and workers to whom the award applies that the rate of wages to be paid, or the conditions of employment to be observed, under the contract shall, until varied in accordance with the provisions of this section, be in accordance with the award.

Miscellaneous and supplementary provisions

25.—(1) Any sugar refining agreement made after the passing of this Act, if it is incorporated in and approved by an order of the Minister, shall have effect notwithstanding any rule of law relating to agreements in restraint of trade. Sugar refining agreements.

(2) In this Act “sugar refining agreement” means an agreement, made between the Corporation and one or more other refiners, providing (with or without other matters) for the division, as between the Corporation and the other party or parties to the agreement, of the whole or part of the market in the United Kingdom for the sale, for consumption or use in the United Kingdom, of refined sugar manufactured in the United Kingdom; and for the purposes of this Act a sugar refining agreement may be limited to a part of that market in any one or more of the following ways, that is to say,—

- (a) it may relate to so much of that market as comprises the sale of refined sugar for delivery in one or more areas in the United Kingdom, to the exclusion of the remainder of the United Kingdom;
- (b) it may relate to one or more descriptions of refined sugar, and not to all descriptions of refined sugar;
- (c) the parties to the agreement may include some, but not all, of the refiners who sell refined sugar, of the descriptions to which the agreement relates, for delivery in the areas to which it relates.

(3) If a sugar refining agreement is concluded within the period beginning with the passing of this Act and expiring with the end of three months after the appointed day, it shall be the duty of the Corporation to submit the agreement to the Minister for his approval.

(4) The Minister shall not approve a sugar refining agreement relating to any area (whether the whole of the United Kingdom or an area within the United Kingdom), unless it includes provision for the purchase, by one or more of the parties thereto, of raw sugar manufactured by the Corporation from home-grown beet, and the Minister is satisfied, having regard to the quantities and prices provided for by the agreement and the parties between whom the agreement is made, that the agreement will, in relation to that area, secure an adequate market for the Corporation's output of raw sugar so manufactured:

Provided that this subsection shall not apply to an agreement in so far as it relates to an area in which, at the time when the agreement is submitted to the Minister, the Corporation do not sell any raw sugar manufactured by them.

(5) In determining whether to approve a sugar refining agreement, the Minister shall take into account the effect which it appears to him that the agreement will have on the interests of users and consumers of sugar in the United Kingdom.

(6) The Minister shall not approve a sugar refining agreement if it appears to him that, in the case of any description of refined sugar, the effect of the agreement (either alone or in conjunction with any other sugar refining agreements for the time being in force) in relation to any of the parties to the agreement would be, directly or indirectly, to exclude refined sugar of that description manufactured by that party from the whole of the market referred to in subsection (2) of this section.

(7) Where a sugar refining agreement is approved by the Minister under this section,—

- (a) the Minister, if at any time, after consulting the parties to the agreement, he considers it necessary to do so in the interests of users and consumers of sugar in the United Kingdom, may require those parties to modify the agreement, in such manner as the Minister may consider necessary in those interests;
- (b) if the parties to the agreement fail to comply with a requirement of the Minister under the preceding paragraph within such period (not being less than one month after the requirement is notified to the parties) as may be specified in the requirement, the Minister may himself give directions modifying the agreement in accordance with the requirement;

- (c) no modification of the agreement shall have effect (whether by virtue of a supplementary agreement between the parties thereto or by virtue of a requirement or direction of the Minister) unless the agreement as modified is incorporated in and approved by an order of the Minister ;

but nothing in this subsection shall affect any power of a party to the agreement to terminate the agreement.

(8) In this Act "refiner" means a person carrying on business in the United Kingdom as a refiner of sugar.

26.—(1) In any of the following cases, that is to say,—

Default powers of Minister in relation to sugar refining agreements.

- (a) if no sugar refining agreement is submitted to the Minister before the end of the period specified in subsection (3) of the last preceding section, or
- (b) if one or more sugar refining agreements are submitted to the Minister before the end of that period, but he does not approve them, or
- (c) if, in consequence of the termination of a sugar refining agreement approved by the Minister under the last preceding section, no sugar refining agreement so approved is for the time being in force,

the Minister shall make an order under this section, either as respects the whole of the United Kingdom or as respects any area therein, and either as respects all or as respects one or more descriptions of refined sugar, as the Minister may consider appropriate in the circumstances.

(2) If—

- (a) the Minister approves one or more sugar refining agreements under the last preceding section, but the agreements so approved do not relate to the whole of the United Kingdom, or to all descriptions of refined sugar, or
- (b) in consequence of the termination of a sugar refining agreement approved by the Minister, one or more areas in the United Kingdom, or descriptions of refined sugar, are not for the time being comprised in a sugar refining agreement so approved,

the Minister may make an order under this section as respects any area in the United Kingdom, or any description of refined sugar, which is not for the time being comprised in a sugar refining agreement so approved by him.

(3) Where a sugar refining agreement is submitted to the Minister, and he does not propose to approve the agreement in the form in which it is made, he shall notify the parties of the

modifications required by him, and of the period (not being less than one month after the date of the notification) within which an agreement incorporating those modifications should be submitted to the Minister; and, notwithstanding anything in the preceding subsections, the Minister shall not exercise his powers thereunder in relation to the matters comprised in the agreement if the parties modify the agreement in accordance with the Minister's requirements, and submit the agreement, as so modified but not otherwise altered, to the Minister within that period:

Provided that this subsection shall not apply if the reason, or one of the reasons, for which the Minister does not propose to approve the agreement is that one or more refiners, who in his opinion have a substantial interest in the market to which the agreement relates, are not parties to the agreement.

(4) Subject to the following provisions of this section, an order under this section shall, in relation to the areas and descriptions of refined sugar to which it relates, make such provision as the Minister thinks fit as to the division, as between the Corporation and other refiners, of the market for the sale, for consumption or use in the United Kingdom, of refined sugar manufactured in the United Kingdom, and may include provision—

- (a) as to the quantities of raw sugar, manufactured by the Corporation from home-grown beet, to be purchased by other refiners, and
- (b) as to the prices at which such raw sugar is to be purchased by those refiners.

(5) In making an order under this section—

- (a) the Minister shall take into account the effect which it appears to him that the order will have on the interests of users and consumers of sugar in the United Kingdom; and
- (b) the Minister shall not include in the order any provision whereby in his opinion, in the case of any description of refined sugar, the effect of the order in relation to any refiner (whether by virtue of the order alone or by virtue of the order in conjunction with any sugar refining agreements approved by the Minister which are in force at the time when the order is made) would be, directly or indirectly, to exclude refined sugar of that description manufactured by that refiner from the whole of the market referred to in the last preceding subsection.

(6) In so far as an order under this section makes provision as to the division of the market, it shall not make that provision, in relation to any refiner, in such a way that (whether by virtue of the order alone or by virtue of the order in conjunction with

any sugar refining agreements approved by the Minister which are in force at the time when the order is made) the sales of refined sugar by other refiners, as respects the whole of the United Kingdom, are in the aggregate restricted in any period to a total quantity which is less than that to which they were restricted, in a corresponding period, under the last agreed arrangements.

(7) In the last preceding subsection "the last agreed arrangements", in relation to an order under this section, means the most recent sugar refining agreement, or aggregate of sugar refining agreements, approved either under section eight of the Sugar Industry (Reorganization) Act, 1936, or under the last preceding section, which related or together related to the whole of the United Kingdom, in the form in which (whether as originally made or as subsequently modified) that agreement, or each of those agreements, last had effect before the order is made:

Provided that for the purposes of this subsection any modification of an agreement which is imposed by a direction of the Minister under the last preceding section shall be disregarded if, within one month after being notified of the modification, a party to the agreement terminates the agreement, in pursuance of a provision in the agreement in that behalf, and notifies the Minister that he has done so by reason of the modification.

(8) Where an order under this section makes provision as to the prices at which raw sugar manufactured by the Corporation is to be purchased by other refiners, the method prescribed by the order for calculating those prices shall be such as the Minister considers requisite for securing that (due allowance being made for differences in rates of duty, terms of delivery and other relevant factors) they do not exceed the prices at which raw sugar of a like degree of polarisation could be purchased by those refiners from sources other than the Corporation.

(9) Any person who—

(a) fails to purchase from the Corporation a quantity of raw sugar which he is required to purchase by virtue of an order under this section, notwithstanding that the raw sugar is available and offered for sale to him by the Corporation and, if the order makes provision as to prices, is so offered at a price calculated in accordance with the order, or

(b) sells any refined sugar in contravention of any provisions of such an order relating to the division of the market, shall be guilty of an offence.

(10) In this section "termination", in relation to an agreement, includes expiration.

Limitation
of sugar
refiners'
margin.

27.—(1) The provisions of this section shall have effect for the purpose of limiting the difference between the prices at which raw sugar is obtainable by refiners and the prices at which refined sugar manufactured by them is sold by them for consumption or use in the United Kingdom.

(2) If an undertaking for that purpose is given to the Chancellor of the Exchequer, either as respects refined sugar generally or as respects one or more descriptions of refined sugar, and the Treasury—

- (a) having regard to the circumstances existing at the time when the undertaking is given, are satisfied that the limitations imposed by the undertaking are reasonable, and
- (b) having regard to the party or parties to the undertaking, and to the descriptions of refined sugar to which it relates, are satisfied that corresponding limitations may be expected to be observed by refiners who are not parties to the undertaking, and that the limitations may be expected to apply to all those descriptions of refined sugar to which it is requisite that they should apply in the interests of users and consumers of sugar in the United Kingdom,

the Minister shall take no action under the following provisions of this section so long as the Treasury remain satisfied that the limitations continue to be reasonable and to be observed by the parties to the undertaking, and that the expectations referred to in paragraph (b) of this subsection continue to be fulfilled.

(3) In any of the following cases, that is to say, if—

- (a) no such undertaking is given as is mentioned in the last preceding subsection, or
- (b) the Treasury are not satisfied as mentioned in paragraphs (a) and (b) of that subsection, or
- (c) the conditions under which, in accordance with that subsection, the Minister is to take no action under this section cease to be fulfilled,

the Minister may make an order under this section.

(4) An order under this section shall make provision for calculating the prices at which raw sugar is to be treated for the purposes of the order as being obtainable by refiners, and shall provide that, in the case of such descriptions of refined sugar as may be specified in the order, the prices at which refined sugar manufactured by them is sold by refiners for consumption or use in the United Kingdom shall not exceed those prices by more than an amount calculated as mentioned in the order.

(5) In making provision, in an order under this section, for calculating the prices at which raw sugar is to be treated as

obtainable by refiners, the Minister shall have regard to the prices prevailing at the time when the order is made, due allowance being made for differences in rates of duty, terms of delivery and other relevant factors which apply to raw sugar obtainable from different sources; and in making provision, in such an order, as to the method of calculating the amount referred to in the last preceding subsection, the Minister—

- (a) shall allow for such a rate of profit to be earned by the refiners as he considers reasonable, and
- (b) shall make due allowance for different factors affecting different descriptions of refined sugar, and for differences in the terms (apart from price) on which refined sugar may be required to be sold for consumption or use in the United Kingdom.

(6) Any person who contravenes an order under this section shall be guilty of an offence.

(7) In the application of this section to a company (within the meaning of the Companies Act, 1948, or of the Companies Act (Northern Ireland), 1932), any sale of refined sugar by a subsidiary of that company shall be treated as if it were a sale of that sugar by that company.

In this subsection “subsidiary”, in relation to a company within the meaning of the Companies Act, 1948, shall be construed in accordance with section one hundred and fifty-four of that Act, and, in relation to a company within the meaning of the Companies Act (Northern Ireland), 1932, means a subsidiary company as defined by section one hundred and twenty-two of the said Act of 1932.

28.—(1) Any person guilty of an offence under either of the two last preceding sections shall be liable—

Penalties for offences under ss. 26 and 27.

- (a) on summary conviction, to a fine not exceeding one hundred pounds;
- (b) on conviction on indictment, to a fine not exceeding two thousand pounds.

(2) Where an offence punishable under the preceding subsection, which has been committed by a body corporate, is proved to have been committed with the consent or connivance of, or to be attributable to any neglect on the part of, any director, manager, secretary or other similar officer of the body corporate, or any person purporting to act in any such capacity, he as well as the body corporate shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly:

Provided that a person who in pursuance of this subsection is convicted of an offence on indictment shall not be liable in respect of that offence to a fine exceeding one thousand pounds.

(3) Neither the provisions of the two last preceding sections as to the commission of offences thereunder, nor the preceding provisions of this section, shall be construed as affecting the enforcement by civil proceedings of any obligation or restriction imposed by or under either of those sections.

Restriction
of imports in
pursuance of
international
sugar
agreements.

29.—(1) For the purpose of complying with any obligations of the Government under the International Sugar Agreement to restrict imports of sugar or other goods from countries not participating in that agreement, the Board of Trade may by order make such provision as the Board consider requisite for restricting the importation from such countries into the United Kingdom of sugar and of any other goods to which the International Sugar Agreement may from time to time apply.

(2) An order under this section may contain such incidental and supplementary provisions (including penal provisions) as may appear to the Board of Trade to be necessary for securing the due operation and enforcement of the order:

Provided that any penal provisions contained in such an order—

(a) shall not extend to matters falling within the next following subsection, or to acts punishable under subsection (1) of section forty-five of the Customs and Excise Act, 1952 (which relates to certain offences in connection with the importation of goods, including the importation of prohibited goods), or under section three hundred and four of that Act (which relates to fraudulent evasion of duty or of import restrictions), and

(b) shall not make any offence under the order punishable otherwise than on summary conviction, or by a penalty in excess of imprisonment for a term of three months and a fine of one hundred pounds, with or without provision for the forfeiture of any goods to which such an offence relates.

(3) If, for the purpose of obtaining a licence under such an order, a person makes a statement, or provides a document or information, which to his knowledge is false in a material particular, or recklessly makes a statement which is false in a material particular, he shall be guilty of an offence and liable—

(a) on summary conviction, to a fine not exceeding one hundred pounds, or imprisonment for three months, or both;

(b) on conviction on indictment, to a fine not exceeding five hundred pounds, or imprisonment for two years, or both;

and, in either case, if the false statement was made, or the false document or information was supplied, in connection with an

application on which a licence was granted, the licence shall be void as from the time when it was granted.

(4) Where any goods, of a description to which an order under this section applies, are imported at a time when the order is in force, an officer (within the meaning of the Customs and Excise Act, 1952) may at that time, or at any subsequent time, require any person possessing or having control of the goods to provide proof that the goods are not goods imported in contravention of the order; and if such proof is not provided to the satisfaction of the Commissioners, the goods shall be presumed, unless the contrary is shown, to be goods imported in contravention of the order.

(5) In this section "the International Sugar Agreement" means the international agreement for the regulation of the production and marketing of sugar which was signed on behalf of the Government in London on the sixteenth day of October, nineteen hundred and fifty-three, and includes any variation or extension of that agreement (whether made before or after the passing of this Act) and any agreement made after the passing of this Act whereby that agreement is superseded.

30.—(1) The provisions of this section shall have effect with regard to any arrangements made by the Minister, either before the passing of this Act or thereafter but before the appointed day, for enabling persons in the United Kingdom who require sugar for purposes of the export trade to purchase it at prices lower than those at which sugar is sold by the Minister generally.

Transitional provisions as to arrangements for purchase of sugar for export trade.

(2) In the case of each person who has purchased sugar under any such arrangements which are in force immediately before the appointed day, there shall be ascertained (in the manner provided for by those arrangements) whether, immediately before that day, the total amount of sugar purchased by that person under the arrangements exceeds, or falls short of, the total amount of sugar which he has used or sold for purposes of the export trade while the arrangements have been in force, and, in either case, there shall be ascertained the amount of the excess or of the deficiency, as the case may be.

(3) In accordance with the results of the calculations required in the case of any person under the last preceding subsection,—

(a) if the calculations disclose in his case an excess of sugar purchased over sugar used or sold as mentioned in that subsection, the Sugar Board shall be entitled to recover from him a sum equal to the appropriate surcharge computed by reference to that excess;

(b) if the calculations disclose in his case a deficiency of sugar purchased, as compared with sugar used or sold

as mentioned in the last preceding subsection, he shall be entitled to recover from the Sugar Board a sum equal to the appropriate surcharge computed by reference to the deficiency.

(4) In the last preceding subsection references to the appropriate surcharge computed by reference to an excess, or to a deficiency, are references to the amount of surcharge which would be payable on sugar—

(a) of a quantity equal to the amount of the excess or deficiency, and

(b) of a polarisation exceeding ninety-nine degrees, if that sugar became chargeable with sugar duty on the appointed day.

Payments by
Sugar Board
in respect of
Minister's
contracts for
sale of sugar
for home trade.

31.—(1) Where before the appointed day the Minister has entered into a contract for the sale of sugar in the United Kingdom, whether the sugar comprised in the contract has been delivered or not, then, unless the whole of the sugar comprised in the contract has become chargeable with sugar duty before the appointed day, the purchaser under the contract shall, subject to the provisions of this section, be entitled to receive from the Sugar Board a payment under this section in respect of so much of that sugar as has not become chargeable with sugar duty before that day.

(2) The preceding subsection shall not apply to a contract for the sale of sugar in pursuance of any such arrangements as are mentioned in the last preceding section.

(3) The amount of a payment under this section in respect of any sugar shall be equal to the amount of the surcharge which would have been payable in respect of that sugar if it had become chargeable with sugar duty on the appointed day.

(4) No payment under this section shall be payable unless an application for it is made to the Sugar Board within the period of one month beginning with the appointed day, and the applicant produces to the Sugar Board such evidence in support of the application as the Board may reasonably require:

Provided that the Board may in any particular case (either before, on or after the date on which the time for applying would otherwise have expired) allow an extended, or further extended, period for making an application for such a payment.

(5) Any sugar which would have become chargeable with sugar duty before the appointed day but for any special circumstances by reason of which the duty was remitted, or was otherwise not required to be paid, shall be treated for the purposes of this section as if it had become chargeable with sugar duty before the appointed day.

32.—(1) The Sugar Commission is hereby dissolved.

Dissolution
of Sugar
Commission,
and repeals.

(2) The Sugar Industry (Reorganization) Act, 1936, the Sugar Industry Act, 1942, and section eight of the Agriculture (Miscellaneous Provisions) Act, 1954, are hereby repealed as from the appointed day.

33.—(1) Any power to make regulations or orders under this Act shall be exercisable by statutory instrument.

Regulations
and orders.

(2) Every instrument containing any such regulations, and, except in the case of such orders as are mentioned in the next following subsection, every instrument containing any order made under any of the preceding provisions of this Act, shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(3) No order shall be made under subsection (4) of section eighteen of this Act, or under section twenty-five, twenty-six or twenty-seven of this Act, unless a draft of the order has been laid before Parliament and has been approved by a resolution of each House of Parliament.

(4) Any order made under any provision of this Act may be varied or revoked by a subsequent order thereunder.

(5) Any functions of the Board of Trade in relation to orders under this Act may be performed by the President of the Board, any Minister of State with duties concerning the affairs of the Board, any secretary, under-secretary or assistant secretary of the Board, or any person authorised in that behalf by the President.

In this subsection "Minister of State" means such a Minister of the Crown as is referred to in section two of the Re-election of Ministers Act, 1919, as explained by the House of Commons Disqualification (Declaration of Law) Act, 1935.

34. Subject to the provisions of subsection (5) of section eighteen of this Act, any administrative expenses under this Act of the Minister or the Commissioners, or of any other Minister of the Crown or Government department, shall be defrayed out of moneys provided by Parliament.

Administrative
expenses.

35.—(1) In this Act "the appointed day" means such day as the Minister may by order appoint; and different days may be appointed for the purposes of different provisions of this Act, and, for the purposes of any provision of this Act whereby enactments are repealed, different days may be appointed for the operation of the repeal in relation to different enactments, including different enactments contained in the same Act.

Interpretation.

(2) In this Act, except where the context otherwise requires, the following expressions have the meanings hereby assigned to them respectively, that is to say:—

- “the Commissioners” means the Commissioners of Customs and Excise;
- “composite sugar products” has the meaning assigned to it by section seven of this Act;
- “the Consolidated Fund” means the Consolidated Fund of the United Kingdom;
- “the Corporation” means the British Sugar Corporation Limited;
- “distribution payments” and “distribution repayments” have the meanings assigned to them respectively by sections fourteen and fifteen of this Act;
- “financial year of the Sugar Board” and “financial year of the Corporation”, subject to the next following subsection, mean respectively a period of twelve months beginning with the first day of April;
- “functions” includes powers and duties, and references to the performance of functions shall be construed accordingly;
- “the Government” means Her Majesty’s Government in the United Kingdom;
- “home-grown beet” means sugar beet grown in Great Britain;
- “manufacture” includes preparation;
- “the Minister” and “the Ministers” have the meanings assigned to them respectively by sections one and seventeen of this Act;
- “molasses” includes invert sugar and all other sugar and extracts from sugar which cannot be completely tested by the polariscope and which are not for the time being specifically chargeable with any duty of customs or excise as sugar or glucose;
- “pension”, in relation to a person, means a pension, whether contributory or not, of any kind whatsoever payable to or in respect of him, and includes a gratuity so payable and a return of contributions, with or without interest thereon or any other addition thereto;
- “refined sugar” means any sugar which has been subjected to a process whereby it is rendered suitable to be eaten as sugar or to be used in the manufacture of an article of food or drink other than sugar;
- “refiner” has the meaning assigned to it by section twenty-five of this Act;

“sugar duty” has the meaning assigned to it by section seven of this Act ;

“surcharge” and “surcharge repayment” have the meanings assigned to them respectively by sections seven and eight of this Act.

(3) The Minister may by order direct that a period specified in the order (being either a period greater or less than twelve months, or a period of twelve months beginning on a day other than the first day of April) shall be a financial year of the Sugar Board, or of the Corporation, as may be specified in the order, for the purposes of such provisions of this Act as may be so specified.

(4) In this Act “on the advice of the Sugar Board”, in relation to the making of an order by the Minister, or to any other matter, means having regard to any representations made in that behalf by the Sugar Board, or after consulting the Board and considering any advice tendered by them with respect to the making of the order, or other matter, in question.

(5) References in this Act to drawback of sugar duty shall be construed in accordance with subsection (9) of section eight of this Act.

(6) References in this Act to the amount of sweetening matter in molasses shall be construed in accordance with paragraph 9 of Part III of the Second Schedule to the Finance Act, 1928.

(7) Any reference in this Act to an enactment shall, unless the context otherwise requires, be construed as a reference to that enactment as amended by or under any other enactment.

36.—(1) This Act may be cited as the Sugar Act, 1956.

Short title
and extent.

(2) Sections seven to sixteen of this Act, and sections thirty-three to thirty-five thereof in so far as they have effect for the purposes of sections seven to sixteen, extend to the Isle of Man.

(3) Sections seventeen to twenty-four of this Act do not extend to Northern Ireland ; but, with the exception of those sections, it is hereby declared that this Act extends to Northern Ireland.

SCHEDULES

FIRST SCHEDULE

Section 1.

COMMONWEALTH SUGAR AGREEMENT

An agreement dated the twenty-first day of December, nineteen hundred and fifty-one, and made between the Minister of Food on behalf of His late Majesty's Government in the United Kingdom, of the first part, and the Queensland Sugar Board, the South African Sugar Association, the British West Indies Sugar Association (Incorporated), the Mauritius Sugar Syndicate, and the Colonial Sugar Refining Company Limited, Fiji, on behalf of the sugar industries and exporters in Australia, the British West Indies (Antigua, Barbados, British Guiana, Jamaica, St. Kitts, St. Lucia and Trinidad), Fiji, Mauritius and the Union of South Africa, of the second part.

Section 2.

SECOND SCHEDULE

PROVISIONS AS TO SUGAR BOARD

1. The Sugar Board shall be a body corporate with perpetual succession and a common seal and power to hold land without licence in mortmain.

2. The Board may act notwithstanding a vacancy among the members of the Board.

3. The quorum of the Board shall be such number as the Board may from time to time determine.

4. It shall be within the capacity of the Board as a statutory corporation to do such things and enter into such transactions as are incidental or conducive to the performance of their functions under this Act.

5.—(1) A member of the Board who is in any way directly or indirectly interested in a contract made or proposed to be made by the Board shall, as soon as possible after the relevant circumstances have come to his knowledge, disclose the nature of his interest at a meeting of the Board.

(2) Any disclosure made under the preceding sub-paragraph shall be recorded in the minutes of the Board, and the member—

(a) shall not take part after the disclosure in any deliberation or decision of the Board with respect to that contract, and

(b) shall be disregarded for the purpose of constituting a quorum of the Board for any such deliberation or decision.

6. Subject to the preceding provisions of this Schedule the Board may regulate their own procedure.

7.—(1) The Board shall appoint a secretary and may appoint such other officers and take into their employment such other persons as they may determine.

(2) The Board shall—

(a) pay to their officers and other persons employed by them such remuneration as they may determine, and

- (b) as regards any officers or persons employed in whose case the Board, with the approval of the Minister, may determine to do so, pay to or in respect of them such pensions, or provide and maintain for them such pension schemes (whether contributory or not), as may be so determined.

2ND SCH.
—cont.

(3) Where any officer of or person employed by the Board, being a participant in any pension scheme applicable to his office or employment, becomes a member of the Board, he may be treated for the purposes of the pension scheme as if his service as a member of the Board were service as an officer of or person employed by the Board, and his rights under the scheme shall not be affected by any provision of this Act which requires that the pensions, or payments towards the provision of pensions, to be paid or made in the case of members of the Board shall be determined by the Minister with the approval of the Treasury.

8. The application of the seal of the Board shall be authenticated by the signatures of the chairman or some other member of the Board authorised by the Board to authenticate the application of the seal thereof, and of the secretary of the Board or some other person authorised by the Board to act in his stead in that behalf.

9. Every document purporting to be an instrument issued by the Board, and to be sealed as mentioned in the last preceding paragraph, or to be signed on behalf of the Board, shall be received in evidence and shall be taken to be such an instrument without further proof unless the contrary is shown.

THIRD SCHEDULE

Sections 6, 20.

ANNUAL REPORT AND ACCOUNTS OF SUGAR BOARD

1. A report of the Sugar Board for any financial year of the Board shall include a statement of the difference between the two following amounts, that is to say,—

- (a) the total amount paid or payable by the Board in respect of sugar purchased by the Board as principals, and delivered under the purchase in that year, and
- (b) the total amount paid or payable to the Board in respect of sugar sold by the Board as principals, and delivered under the sale in that year.

2.—(1) A report of the Sugar Board for any financial year of the Board shall contain, or shall have annexed to it, one or more tables setting out any rates to which this paragraph applies which were in force during the whole or any part of that year.

(2) Any such table shall include a note stating either that the rates specified in the table were in force during the whole of the year in question, or, as the case may be, that those rates were in force for a part of that year specified in the note.

(3) This paragraph applies to any rates prescribed by an order made by the Minister under this Act, being rates of surcharge, of surcharge repayments, of distribution payments or of distribution repayments.

3RD SCH.
—cont.

3. A report of the Sugar Board for any financial year of the Board shall include a statement of the accounts of the Corporation for any financial year of the Corporation which coincides with, or ends within, the financial year of the Board to which the report relates; and any such statement shall include a balance sheet and a profit and loss account and shall be in such form as the Minister, with the approval of the Treasury, may direct.

4. The statements of account of the Sugar Board to be prepared under subsection (3) of section six of this Act in respect of any financial year of the Board shall include a statement of—

- (a) the amount of any sum payable to the Corporation by the Board under subsection (1) of section twenty of this Act in respect of any financial year of the Corporation which coincides with, or ends within, that financial year of the Board;
- (b) the aggregate amount of any incentive payments falling to be paid to the Corporation by the Board under subsection (2) of the said section twenty in respect of any such financial year of the Corporation.

Section 20.

FOURTH SCHEDULE

TRANSITIONAL PROVISIONS AS TO FINANCES OF BRITISH SUGAR CORPORATION LIMITED

1.—(1) The provisions of this Schedule shall have effect with regard to any arrangements which may be in force immediately before the appointed day for regulating the financial relations between the Minister and the Corporation.

(2) Any such arrangements are in the following provisions of this Schedule referred to as “the existing arrangements”.

2. The existing arrangements shall not have effect in so far as they relate to any period after the thirty-first day of March, nineteen hundred and fifty-seven.

3. Subject to the preceding paragraph, any payments which, in accordance with the existing arrangements, would be payable by the Corporation to the Minister on or after the appointed day shall be payable by the Corporation to the Sugar Board; and any payments which in accordance with those arrangements would be payable to the Corporation by the Minister on or after the appointed day shall be payable to the Corporation by the Sugar Board.

4. Nothing in the two last preceding paragraphs shall affect—

- (a) the recovery on or after the appointed day of any sum payable before that day, or
- (b) any right of the Minister to a payment falling due on or after the appointed day in respect of the principal of, or interest on, a loan from the Minister to the Corporation made before that day.

5.—(1) Any sum standing to the credit of a special account, in respect of a period ending before the first day of April, nineteen

hundred and fifty-seven, being a sum which, in accordance with the existing arrangements, would be applicable by the Corporation, wholly or in part, for the purpose of making good future losses on revenue account, shall, subject to the next following sub-paragraph, be retained by the Corporation in a special account.

4TH SCH.
—cont.

(2) If, for any financial year of the Corporation beginning on or after the said first day of April, the revenues of the Corporation (calculated in accordance with section twenty of this Act) would fall short of the total sums properly chargeable by the Corporation to revenue account (calculated in accordance with that section), any sum retained in a special account by the Corporation under this paragraph shall be applied (so far as may be requisite, or so far as it will extend, as the case may be) for the purpose of making good the deficiency.

(3) Where a sum is applied in accordance with the last preceding sub-paragraph for the purpose of making good a deficiency, any liability of the Sugar Board to make good that deficiency under sub-section (1) of section twenty of this Act,—

- (a) if the deficiency is wholly made good under the last preceding sub-paragraph, shall be cancelled, or
- (b) if the deficiency is made good in part under that sub-paragraph, shall be reduced to a corresponding extent.

Table of Statutes referred to in this Act

Short Title	Session and Chapter
Exchequer and Audit Departments Act, 1866 ...	29 & 30 Vict. c. 39.
Finance Act, 1901	1 Edw. 7. c. 7.
Provisional Collection of Taxes Act, 1913 ...	3 & 4 Geo. 5. c. 3.
Re-election of Ministers Act, 1919	9 & 10 Geo. 5. c. 2.
Finance Act, 1928	18 & 19 Geo. 5. c. 17.
House of Commons Disqualification (Declaration of Law) Act, 1935	25 & 26 Geo. 5. c. 38.
Sugar Industry (Reorganization) Act, 1936 ...	26 Geo. 5. & 1 Edw. 8. c. 18.
National Loans Act, 1939	2 & 3 Geo. 6. c. 117
Sugar Industry Act, 1942	5 & 6 Geo. 6. c. 16.
Agriculture Act, 1947	10 & 11 Geo. 6. c. 48.
Companies Act, 1948	11 & 12 Geo. 6. c. 38.
Customs and Excise Act, 1952	15 & 16 Geo. 6. & 1 Eliz. 2. c. 44.
Agriculture (Miscellaneous Provisions) Act, 1954	2 & 3 Eliz. 2. c. 39.